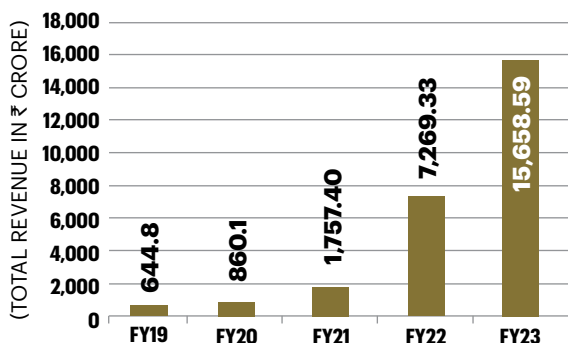


STRONG SIGNALS

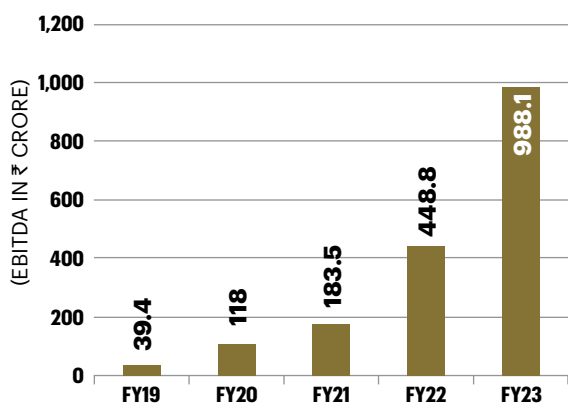
► OfBusiness surged past the ₹15,000-crore revenue mark in FY23, sustaining robust growth

► In FY23, the company recorded a 2.3x growth in profits, reaching ₹463 crore

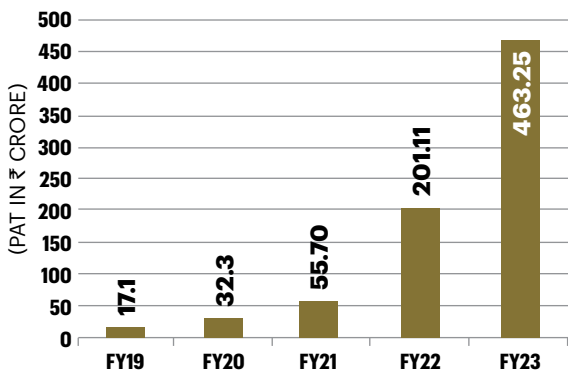
ROCKETING REVENUE



EBITDA EFFICIENCY



CONSISTENT PROFITS



Source Tracxn

Talking about the reasons behind OfBusiness's profitability, Mohapatra says it was because they knew how to spend less. "We broke even in FY18. The first full year of operating profit was in FY19. We are very frugal, we didn't have much of an operating expense, we never did loss-making transactions, we did sales with no marketing, never sold things at a discount," he explains.

Mohapatra emphasises that while the market opportunity is massive, the primary focus should be on ensuring that growth does not compromise quality or profitability, a temptation many start-ups fall into.

"Even at our current scale, we can easily compound at 40-50% CAGR for the next five years. We are at close to ₹20,000 crore (annual revenue) now. At our scale, the challenge is to keep generating more profits, the profitability growth has to be faster than revenue growth, we should not be taking wrong capital allocation decisions, and we need to make sure business is very clean, meaning there should not be any concentration risks," he says.

No wonder, therefore, that industry watchers are happy. Sarthak Misra, Investment Director at Soft-Bank Investment Advisers, praises Mohapatra's disciplined cost control, which he says is deeply rooted in an early understanding of B2B's thin-margin nature. This, according to Misra, will help the company not only to stay committed towards profitability, but will also help it scale.

"Mohapatra understood from day one that a B2B marketplace is a thin margin business. The founders set the example right from day one that you need to make profit on every transaction and collections should be a priority focus for everyone. Mohapatra heads collections even today. Everybody from the youngest employee in the company to the founders, have focussed on this from day one, and that has allowed them to achieve scale profitably," Misra says.

As for the future, Mohapatra sees a huge market opportunity in what they are doing and plans to stick to the current categories for the next three to four years at least. Moreover, after eight years in business, the company is now getting ready for its debut on the public markets, expected in the next 15-18 months.

For Mohapatra, steering the ship as a category leader isn't just a role—it's a commitment. He rolls up his sleeves, dives into the challenges, and works relentlessly to ensure the venture generates value for everyone in the ecosystem, from suppliers and SMEs to his investors. **BT**

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